Oriental Hotels Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: ORIENTHOT · Report prepared 21 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public financials, annual filings, credit-rating rationales and news record. This company holds no earnings calls — see Section 2.

1 Snapshot

Oriental Hotels owns seven hotels in south India — 825 rooms, 60%+ of revenue from two Chennai properties — and pays The Indian Hotels Company Ltd (IHCL, the Tata group's Taj business) a fee to run them under the Taj, SeleQtions, Vivanta and Gateway brands. **It owns the bricks; someone else runs the hotel.**

Item	Number	What it means in plain words
Market value of the company	₹2,448 Cr (₹137/share)	The stock market prices 825 rooms at roughly ₹3.0 crore a room.
FY26 revenue (year to Mar 2026)	₹491 Cr from operations; ₹501 Cr total income	Highest ever. Beat CARE's Dec-25 "~₹500 Cr over the medium term" a year early.
FY26 operating profit / margin	₹131 Cr / 27%	27 paise of every sales rupee survives running costs, before interest and depreciation.
FY26 net profit	₹71 Cr standalone (₹68 Cr consolidated)	Best profit in the company's history. FY22 was a ₹13 Cr loss.
Borrowings	₹131 Cr (Mar-26), from ₹280 Cr (Mar-22)	Debt cut by more than half in four years. This is the cleanest thing in the file.
ROCE (return on capital employed)	17.1%	Of every ₹100 of capital (equity + debt) in the business, ₹17 comes back as operating profit a year.
Room count	825 keys, 7 hotels, 6 cities	Flat for a decade — 827 keys in FY23, 825 now. No volume growth here, only price.
Who controls it	Promoters 68.5%; IHCL + Tata cos 39.1%; late D.S. Reddy family ~28.5%	IHCL is both the largest shareholder and the paid operator. That dual role is the core governance question.

Five-year record (standalone, ₹ crore — standalone is over 99% of the group, per ICRA):

Year to March	FY22	FY23	FY24	FY25	FY26
Revenue	219	393	391	438	**491**
Operating profit	23	111	97	109	**131**
Operating margin	10%	28%	25%	25%	**27%**
Net profit	−13	58	55	45	**71**
Borrowings (year-end)	280	215	202	183	**131**

The plain read. FY23 was the Covid snap-back — revenue nearly doubled and margin went 10% to 28% in one year, because hotel costs are largely fixed and every extra rupee of room revenue drops straight through. Then FY24 and FY25 stalled (₹393 → ₹391 → ₹438 Cr) at 25% margin, because rooms were shut for renovation at Taj Malabar Cochin, Taj Coromandel's ballroom, Gateway Coonoor and Gateway Madurai. FY26 is the payoff: renovations done, revenue up 12% to a record, margin back to 27%. Net profit is noisier than operating profit because FY25 carried a 32% tax rate and heavier depreciation on the newly capitalised work. **The company did capture the Indian hotel upcycle — but spent two of the five years paying for it rather than harvesting it.**

2 Coverage & sources

No concall transcripts were available on Screener — this report is based on a global web deep-dive.

Screener's page for ORIENTHOT carries **no Concalls section at all** — only annual reports, credit ratings and exchange announcements. The local document store (`/tmp/research-company/concall-tracker/orienthot/documents/concalls/`) is empty. The company's own investor-relations site lists results, annual reports and shareholding, and **no earnings-call transcript, no audio, and no investor presentation**. Oriental Hotels does not hold earnings calls. Everything below is reconstructed from filings, rating rationales, the results press release and news reports — **no management answer to any analyst question exists to check it against.**

Sources actually used. (1) Screener.in ORIENTHOT standalone + consolidated pages — the on-disk CSV spine (P&L, quarters, balance sheet, ratios, cash flow, shareholding). (2) **CARE Ratings press release, 1 Dec 2025** — the richest single document: upgrade to CARE AA−/A1+, occupancy and ARR by year, margin guidance, renovation list, gearing, coverage. (3) **ICRA rationale, 3 Mar 2026** — upgrade to [ICRA]AA−/A1+, debt at Dec-25, repayment schedule, capex guidance, group structure. (4) **ICRA 9 Sep 2025** and **CARE 9 Oct 2023** — the earlier baseline for the promised-versus-delivered scorecard. (5) Q1 FY27 coverage of the 15 Jul 2026 board meeting: PTI (Prokerala, Assam Tribune, New Kerala), HospitalityNews.in, MarketsMojo, Trade Brains via Investing.com. (6) Q4/FY26 coverage: Capital Market via Dailyhunt, EquityBulls, Business Standard. (7) 56th AGM voting outcome, 30 Jul 2026. (8) IHCL press room, Taj Malabar Cochin reopening. (9) orientalhotels.co.in investor pages.

One reconciliation to note. The on-disk spine is the *standalone* series. Q1 FY27 standalone net profit is about ₹11 Cr; the *consolidated* figure the company reported and the press ran with is ₹5.3 Cr. The gap is the share of losses in the small offshore holdings — OHL International (HK), the 21.7% TAL Hotels JV and 23.1%-held Lanka Island Resorts, Sri Lanka: under 1% of revenue, but they swung the headline. Also beware the widely-shared "profit falls 83%" headline — that is Q1 against the seasonally-strongest Q4, not a year-on-year fall.

2b Latest update highlights

Latest update highlights — Q1 FY27 (quarter to 30 June 2026, results 15 July 2026)

- **Revenue ₹111.5 Cr, up only 3.6%** on ₹107.7 Cr — a sharp slowdown from FY26's 12%. [MarketsMojo; PTI]
- **Operating margin fell to 21.03% from 23.81%** — down 278 basis points (2.78 percentage points). Operating profit *shrank* to ₹23.4 Cr from ₹25.6 Cr even as revenue grew; employee cost rose to ₹28.0 Cr from ₹26.8 Cr. [MarketsMojo]
- **Consolidated net profit ₹5.3 Cr, down 20%** from ₹6.6 Cr. The stock fell about 6% to ₹125 intraday on the day. [PTI; Trade Brains]
- **Operating metrics were good, which is the puzzle:** ADR +4%, occupancy +290 basis points, **RevPAR +8%**, food-and-beverage revenue +11%. Rooms and restaurants both improved per unit — yet revenue grew 3.6% and profit fell. Nobody can ask management why. [HospitalityNews.in]
- **Interest cost down 32.7%** to ₹2.5 Cr — the deleveraging is real and is now visibly helping the profit line. [MarketsMojo]
- **Management said nothing specific.** MD & CEO Pramod Ranjan's entire quote: "OHL in the first quarter of FY2027 reported a steady performance with a EBITDA of Rs 26.6 crores. With extensive asset enhancement initiatives across the OHL portfolio and continued strength in domestic demand, the company is well-positioned to deliver a sustained performance in the quarters ahead." No margin explanation, no guidance. [HospitalityNews.in]

Last seven quarters (standalone, ₹ crore):

Quarter	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Revenue	121	132	107	110	139	136	**111**
Operating profit	34	39	25	26	41	38	**23**
Operating margin	28%	29%	23%	23%	30%	28%	**21%**
Net profit	14	18	9	13	20	29	**11**

The plain read. Seasonality is severe and consistent: December and March (wedding season, the southern season, foreign arrivals) carry the year at 28–30% margins, while June and September run 21–23%. So a weak June quarter is normal. What is *not* normal is June-26's 21% against June-25's 23% — margin went *backwards* in the first quarter after the renovation programme was declared finished, precisely when it should have gone forwards. That is the one number here that argues against the bull case.

2c Business mix & capacity

"Asset-heavy owner versus asset-light operator." Two companies share one hotel. Oriental Hotels buys the land, builds and furnishes the building, borrows the money and carries the depreciation — the *asset-heavy owner*. IHCL supplies the Taj name, the booking system and the managers, and takes a fee — the *asset-light operator*. The fee is largely safe; the owner's return is whatever is left after fee, interest and depreciation. The owner carries the cycle, and needs three things to go right.

The three things, in plain words. Occupancy = what share of rooms were actually sold (72.8% in FY25 means roughly 601 of 825 rooms filled on an average night). **ARR / ADR** (average room rate / average daily rate) = the average price actually paid for a room that *was* sold — ₹10,837 in FY25. **RevPAR** (revenue per available room) = the two multiplied — room revenue spread across *every* room, sold or not, about ₹7,890 in FY25. RevPAR is the one that matters: you cannot flatter it by discounting to fill rooms, nor by emptying the hotel to protect the rate.

Capacity. 825 rooms, 7 hotels, 6 cities, all south India. Approximate keys: Taj Coromandel Chennai 212, Vivanta Coimbatore 178, Taj Fisherman's Cove Chennai 149, Vivanta Mangalore 96, Taj Malabar Cochin 95, Gateway Pasumalai Madurai 63, Gateway Coonoor 32. Three are owned, two leased, two on licence. **Brands:** Taj (luxury), SeleQtions, Vivanta (upper-upscale), Gateway (mid-market) — all IHCL's, none owned by Oriental Hotels; **no Ginger hotels** here, contrary to some summaries. **City mix:** the two Chennai Taj properties are 55–60% of revenue.

Occupancy and rate, as disclosed: FY22 54% / ₹6,750 · FY23 69% / ₹9,900 · FY24 70.6% / ₹10,155 · FY25 72.8% / ₹10,837. Pre-Covid, occupancy was 59–67% and ARR ₹6,700–7,400 — so the company is now running well above its own historic best on both. **Said plainly: FY26 absolute occupancy and ARR are nowhere public.** For FY26 we have only "RevPAR up 11%"; for Q1 FY27 only "ADR +4%, occupancy +290bps, RevPAR +8%" — percentages with no base. Quarterly occupancy and ARR, hotel-by-hotel performance, and the IHCL fee rate are all **undisclosed**.

3 Earning-trigger thesis

The trigger in one paragraph

Oriental Hotels spent FY24 and FY25 shutting rooms to rebuild them, at the cost of two years of growth. That programme is finished, and FY26 showed what the rebuilt estate earns: record ₹501 Cr revenue, 27% margin, ₹71 Cr profit. Meanwhile debt fell from ₹280 Cr to ₹131 Cr, so a rising share of operating profit reaches shareholders instead of lenders. The trigger is a **margin-and-interest story on a fixed asset base** — renovated rooms priced higher against a shrinking debt bill. What it is emphatically **not** is a growth story: 825 rooms unchanged in a decade, and both agencies state no new hotels are expected.

Trigger	What the public record says	Evidence so far	Horizon	Strength
Renovated rooms earn a higher rate	CARE (Dec-25): renovations at Taj Malabar, Taj Coromandel ballroom, Gateway Coonoor and Madurai "near completion"; margin 27–30% and ~₹500 Cr revenue expected over the medium term.	**Delivered.** FY26 revenue ₹501 Cr, margin 27% — low end of the band, a year early. ARR ₹6,750 (FY22) → ₹10,837 (FY25).	Already in the numbers	**Strong**
Interest bill keeps falling	ICRA (Mar-26): debt ₹160.9 Cr at Dec-25 vs ₹183.1 Cr at Mar-25; repayments ₹22.6 Cr FY27, ₹16.9 Cr FY28; no significant debt-funded capex planned.	**Delivered.** Interest cost ₹22 Cr (FY22) → ₹14 Cr (FY26); Q1 FY27 interest down 32.7% year-on-year. Gearing 0.64x → 0.27x.	Next 2–3 years	**Strong**
Capex now falls away	ICRA: "no significant capex plans apart from the maintenance capex of Rs. 15.0–20.0 crore annually", funded from internal cash.	**Early but consistent.** Free cash flow ₹13 Cr → ₹28 Cr → **₹91 Cr** (FY24–26) as the spend rolled off; cash from operations ₹126 Cr in FY26.	FY27–FY28	**Strong**
The industry upcycle continues	Both agencies cite a demand–supply gap in major Indian cities and stable domestic demand.	**Holding, softening at the edge.** Q1 FY27 RevPAR +8% is decent; revenue +3.6% is not. Foreign arrivals still needed to diversify demand (CARE's caution).	Ongoing	**Medium**
More rooms / new hotels	Nothing. CARE, flatly: "No new hotel addition is expected over the medium	**Absent.** 827 keys FY23, 825 now. No land-development or asset-	—	**Weak**

	term in OHL's portfolio" — identical wording in 2023 and 2025.	monetisation programme anywhere in the public record.		
Less Chennai dependence	CARE names this as the trigger for a further upgrade: "significant increase in scale with reduction in dependence on Chennai markets".	**No progress.** Chennai was "over 60%" of revenue in FY23, 55–60% in 9M FY26 — essentially unchanged.	Not on the table	**Weak**

Capex and monetisation — stated versus delivered. Oct 2023: CARE recorded expected FY24 capex of "about ₹100 crore", mostly from internal cash. It was spent and it shows — capital work-in-progress jumped to ₹54 Cr at Mar-24, fixed assets rose ₹388 Cr to ₹481 Cr by Mar-25 as the work was capitalised, CWIP back to ₹1 Cr. **Stated, cash-funded, delivered.** On asset monetisation and land development, there is nothing to assess — no plan announced, no land bank described in any rating rationale, no property sale in any cash-flow statement. Investing outflow is a steady ₹47–53 Cr a year: maintenance, not estate dealing.

4 Management consistency scorecard

Read this first

Because Oriental Hotels holds **no earnings calls**, every "promise" below comes from an annual report, a results press release, or a rating agency writing up what management told it privately. None of it was made under analyst questioning, and none can be followed up. A management that never faces a call is never caught changing its story, so a clean scorecard here is worth materially less than the same scorecard from a company that takes questions every quarter. **Treat this as directional only.**

Period	Promised / stated	What happened	Verdict
Oct 2023 CARE PR	FY24 capex of about ₹100 Cr for renovations, mostly from internal cash rather than new debt. And: no new hotel additions over the medium term.	Spent — CWIP ₹54 Cr at Mar-24, fixed assets ₹388 Cr → ₹481 Cr by Mar-25, while borrowings *fell* (₹215 Cr → ₹183 Cr), so it genuinely was cash-funded. No new hotels either: 827 keys then, 825 now.	**Kept** (the second is an honest low bar)
FY24–FY25	Renovations would lift ARR and therefore profitability once complete.	Half-true on timing. Revenue was flat in FY24 (₹393 → ₹391 Cr) and margin fell to 25% because rooms were out of service — a real cost, flagged in advance rather than hidden. ARR kept rising through it: ₹9,900 → ₹10,155 → ₹10,837.	**Kept, but slower than implied**
Sep 2025 ICRA	Coverage metrics to improve as debt is paid down; no significant debt-funded capex; maintenance capex ₹15–20 Cr a year.	Ahead of schedule. Debt ₹183 Cr (Mar-25) → ₹161 Cr (Dec-25) → ₹131 Cr (Mar-26); debt/EBITDA 1.7x → 1.3x. Both agencies upgraded to AA– within four months of each other.	**Beat**
Dec 2025 CARE PR	Revenue "projected to reach ~₹500 Cr over the medium term"; margins 27–30%.	₹501 Cr total income in FY26 — the medium-term target hit in the same fiscal year. Margin 27%, i.e. the bottom of the promised band, not the middle.	**Beat on revenue, bare pass on margin**
Apr 2026 FY26 results	MD: with major asset upgrades complete "the company is poised to deliver strong performance in the upcoming fiscal year."	First quarter of that year: revenue +3.6%, operating profit *down* ₹25.6 Cr to ₹23.4 Cr, margin −278bps, consolidated profit −20%. One quarter is not a year — but this is not "strong".	**Not yet delivered**
Jul 2026 Q1 FY27	MD: "steady performance with a EBITDA of Rs 26.6 crores" and "well-positioned to deliver a sustained performance".	Calling a 278bps margin contraction "steady" is a stretch. RevPAR +8% and F&B +11%, yet revenue +3.6% and profit down — a gap no disclosure explains and no call exists to probe.	**Framing outruns the numbers**

Governance, stated plainly. A listed company worth ₹2,448 Cr **gives its shareholders no forum to question management** — no earnings call, no transcript, no investor presentation on its own website. A minority holder cannot ask why margin fell while RevPAR rose, what the IHCL fee costs, what the FY27 rate assumption is, or where the ₹91 Cr of free cash flow goes. The best operational disclosure on this company — occupancy, ARR, concentration, repayment schedule — comes from CARE and ICRA, who are paid by the company and write for lenders, not owners. **That is a structural disclosure deficit, and it caps the confidence of every verdict below.**

The related-party point. IHCL is at once Oriental Hotels' largest shareholder (28.5%, or 39.1% with Tata group companies), licensor of every brand it trades under, paid manager of all seven hotels, and a presence on its board. The fee appears only as an aggregate related-party number — **the rate is not public**. At the 56th AGM on 30 July 2026 the resolution approving material related-party transactions with IHCL passed with 85.85% support against roughly 14.4% dissent from public institutional investors; every other resolution that day passed with over 99.99%, and the promoter group correctly abstained on this one. Dissent concentrated on precisely one resolution is the market's own verdict that this arrangement deserves more explanation than it gets — and there is no call on which to seek it.

5 Bottom line

VERDICT 1 — EARNING TRIGGER: REAL, BUT CAPPED AND NOT CONFIRMED THIS QUARTER

There is a genuine earning trigger and it is not speculative: the renovation programme is finished and paid for, free cash flow tripled to ₹91 Cr in FY26, debt has more than halved to ₹131 Cr with only ₹22.6 Cr and ₹16.9 Cr of repayments left in FY27 and FY28, and two rating agencies independently upgraded the company to AA–. Each is a fact on a filing, not a forecast. But it has a hard ceiling: **825 rooms, unchanged for a decade, one region, 55–60% of revenue from two hotels in one city, and both agencies stating no new hotels are coming.** This company can only earn more by charging more for the same rooms and paying less interest — a good few years, not a compounding machine. And the first quarter after "completion" went the wrong way: revenue up 3.6% while operating profit *fell* and margin lost 278 basis points, despite RevPAR up 8%. That contradiction is unexplained, and with no earnings call it stays unexplained until the September quarter prints. The trigger is real; confirmation is pending.

VERDICT 2 — MANAGEMENT CONSISTENCY: GOOD ON THE AVAILABLE RECORD, BUT THE RECORD IS THIN AND UNTESTED

On what can be checked, this management has done what it said. It said ~₹100 Cr of renovation from internal cash — it spent it, and debt fell while it did. It said no new hotels — there are none, stated consistently for three years. It said ~₹500 Cr of revenue over the medium term — it delivered ₹501 Cr early. It said debt metrics would improve — they improved faster than guided. No story drift, no broken promise of substance; the two amber marks are a margin at the bottom of its own band and a June quarter that does not match the words describing it. **The limitation:** every promise was made to a rating agency or in a two-sentence press release, never to an analyst who could follow up. Calling a 278-basis-point margin contraction "steady performance" is exactly the framing a quarterly call exists to puncture. So the verdict is favourable on evidence and deliberately held one notch below what the same record would earn from a company that takes questions. **Judge this one on the numbers as they print — the commentary will not tell you much.**